

AUDIT INVESTIGATION REPORT

Investigation No. INV-00235 | Type: Contract Audit

Investigation ID:	INV-00235
Investigation Type:	Contract Audit
Status:	COMPLETED
Trigger Source:	Compliance monitoring system flag
Lead Investigator:	Craig Hoffman (EMP-48926)
Subject Employee:	Steven Sanchez (EMP-22991)
Related Vendor:	DeltaPath Logistics Group (VND-00627)
Related Transaction:	TXN-983480
Scope Period:	2020-06-28 to 2021-05-28
Created Date:	2024-02-08
Completed Date:	2024-07-04
Outcome:	SUBSTANTIATED

1. AUDIT QUESTION

"Which high-risk or critical-risk vendors have received payments in the past 12 months?"

2. BACKGROUND

This investigation was initiated following a compliance monitoring system flag relating to activity associated with employee Steven Sanchez (EMP-22991) and vendor DeltaPath Logistics Group (VND-00627). The investigation scope covers the period 2020-06-28 to 2021-05-28 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-983480 (amount 944.82 USD, risk score 0.07). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-001851	MEDIUM	EXPIRED COMPLIANCE	Compliance record CMP-106538 for vendor HorizonEdge Inc International was in EXPIRED status at time of payment processing.
FND-000431	LOW	VENDOR RISK	Payment issued to VND-VND-00472 rated LOW risk. Active contract CON-106203 in place. Enhanced due diligence not documented.

5. CONCLUSION

Based on the evidence reviewed, the allegations underlying this investigation are **SUBSTANTIATED**. The control breakdown identified poses a medium risk to the organisation and requires remediation.

6. ACTIONS TAKEN

- Transaction reversed and funds recovered in full.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Craig Hoffman	EMP-48926	2024-07-04